

CH 4 OWNERSHIP & EXPANSION OF FIRMS

Microeconomics by Topic
4. Ownership & Expansion of Firms

4.1 PUBLIC ENTREPRISES

MARKING SCHEME

1991/CE/II/13
D

1991/CE/II/14
A

1992/CE/II/19
A

1993/CE/II/12
A

1993/CE/II/17
D

2025/DSE/II/31

D

Note: Figures in brackets indicate the percentages of candidates choosing the correct answers.

1993/CE/II/3(a)

(i) The government

(2)

(ii) Advantages over a government department

- profit motive
- more flexible operation e.g. less red-tape
- higher incentive to lower production cost / efficient use of employees
- better control of employees
- more responsive to consumers' demand
- more innovative e.g. stored valued ticket

(2@, max: 4)

[Mark the **FIRST TWO** points only.]

Advantages over a private firm:

- sound financial structure (financially backed up by the government) / lower interest on loans borrowed (with government as guarantor)
- better overall planning / co-ordination of transportation services
- government may receive dividend from the corporation

(2@, max: 2)

[Mark the **FIRST** point only.]

2017/DSE/II/10(b)

Arguments supporting the suggestion:

- Government will have a better control of the train fare, and it can freely reduce the fare to relieve the burden of the passengers
- If MTR is fully owned and supported by the government, that would make it easier for MTR to get loans to fund its operation or investment.

(2@, max: 2)

Arguments opposing the suggestion:

- It may lower the efficiency of MTR's management and reduce its sensitivity to market (price) signals.
- The money involved in the purchase of MTR is substantial. The government may have better alternative uses of the money, such as education and medical services.

(2@, max: 2)

[Mark the **FIRST** point only.]

2019/DSE/II/3

Examples:

- HK Airport Authority
- Hong Kong Export Credit Insurance Corporation
- any other relevant example

[Mark the **FIRST** point only.]

Marks
(1)

Advantages:

- easier to get information about the general public from the government for decision-making
- can provide stable service with a lower price
- easier to get loan with the backup of the government
- any other relevant point

[Mark the **FIRST TWO** points only.]

} @1
max: 2

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4.1 PUBLIC ENTREPRISES

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2025/DSE/II/4(Cross Topic1.7)

(a) Reasons:

- Not durable, as rice may decay within years and cannot be stored for a long time.
- Not homogeneous, as rice does not have uniform physical characteristics.
- Not portable, as people need to carry a large quantity of rice for high-value transactions.
- Any other relevant point

[Mark the FIRST TWO points only.]

} 2@
max: 4

(b) As a lender, Villager B receives the bag of rice as compensation for deferred consumption.

(2)